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A bolt from the blue

DeepSeek was incorporated two years ago, but no one paid much attention. After all, who expected a small company from a country without access to Nvidia's powerhouse H100s to develop an AI model rivalling the famed ChatGPT? If anything, such a breakthrough was more likely to come from China's tech giants—Baidu, Alibaba, Tencent, or Xiaomi.

"I'VE BEEN READING ABOUT CHINA AND SOME OF THE COMPANIES IN CHINA, ONE IN PARTICULAR COMING UP WITH A FASTER METHOD OF AI AND MUCH LESS EXPENSIVE METHOD, AND THAT'S GOOD BECAUSE YOU DON'T HAVE TO SPEND AS MUCH MONEY. I VIEW THAT AS A POSITIVE BECAUSE YOU'LL BE DOING THAT TOO, SO YOU WON'T BE SPENDING AS MUCH, AND YOU'LL GET THE SAME RESULT, HOPEFULLY. THE RELEASE OF DEEPSEEK AI FROM A CHINESE COMPANY SHOULD BE A WAKEUP CALL FOR OUR INDUSTRIES THAT WE NEED TO BE LASER-FOCUSED ON COMPETING TO WIN."



— AMERICAN PRESIDENT DONALD TRUMP

And yet, one day, DeepSeek arrived and upended an industry that had long equated AI dominance with sheer hardware power. Its models are not flawless. They may sidestep controversial topics on China, offer different answers under pressure, or struggle with perfect English. They might even miss some questions entirely. But DeepSeek has made one thing clear—the future of AI is not just about size and cost. It is about intelligence.

This revelation jolted investors worldwide. Nvidia's stock plunged 17%, wiping out nearly \$1 trillion from the US stock market. The shock rippled across global markets, amplifying growing concerns that companies were pouring too much capital and energy into AI.

DeepSeek-R1 arrived with a bang, sparking reactions from all sides. Some celebrated it as a step toward AI democratisation, while others questioned its claims—or outright condemned its methods as illegal. Concerns over privacy and security led many companies and government offices to restrict its

use. Yet, one thing has become clear: a paradigm shift is underway.

The stock market nosedive was likely a knee-jerk reaction, one that will soon correct itself—AI is anything but a stagnant industry. In fact, as of this writing, European AI stocks are already rebounding.

Satya Nadella of Microsoft nailed it when he said, "Jevons Paradox strikes again! As AI gets more efficient and accessible, we will see its use skyrocket, turning it into a commodity we just can't get enough of."

The Jevons Paradox, proposed in 1865 by English economist William Stanley Jevons, suggests that as a resource becomes more efficient, its price is bound to drop, and its demand could actually increase. In the context of AI, experts feel that the lower cost of AI will lead to more applications and a greater demand for it—the technological approach may change, but the demand for AI will continue to rise.

Change is the only constant

Well, if David shifted the paradigm, the Goliaths would have to adapt to it eventually! If anything, the DeepSeek drama has definitely made Sam Altman change his narrative on India's AI capabilities.

Two years ago, he controversially opined that Indians cannot even hope to build AI models with their low budgets. Now, he feels India should go for the full-

"I WAS EXTREMELY SCEPTICAL OF THE COST NUMBER. IT WAS LIKE, THERE ARE SOME ZEROS MISSING. BUT, YEAH, IT'S A GOOD MODEL, AND WE'LL NEED TO MAKE BETTER MODELS, WHICH WE WILL DO."

— SAM ALTMAN, CEO, OPENAI

